SECTION 1 (39 marks)

Rodrique

You are the financial controller of Rodrique Ltd (Rodrique) and have responsibility for the preparation of Rodrique's financial statements for the year ended 31 January 2026. Rodrique is an unquoted, medium-sized company and prepares its financial statements in accordance with IFRS Accounting Standards.

The main business activity of Rodrique is the manufacture of customised industrial furnaces. You need to advise on, and account for, any revenue arising on the contract described in Appendix 1.

Rodrique carries out research and development on new and improved furnaces. Your assistant has accounted for research and development costs incurred in the year ended 31 January 2026. Relevant information is in Appendix 2.

Rodrique obtained a new bank loan during the year ended 31 January 2026. Information about the bank loan is in Appendix 3.

You need to construct the statement of profit or loss of Rodrique for the year ended 31 January 2026. The draft statement is in Appendix 4.

The remuneration relating to the research director of Rodrique, who was appointed in February 2025, has been omitted from the directors' remuneration disclosure in error. You have been asked to advise on what amounts should be included in the remuneration disclosure. Relevant information is in Appendix 5.

QUESTIONS:

Question 1

Advise, using the information in Appendix 1, on the recognition and measurement of revenue arising on the contract for the year ended 31 January 2026 and prepare, showing all workings, any journal entries necessary.

(12 marks)

Question 2

Advise, using the information in Appendix 2, on how the research and development costs incurred in the year ended 31 January 2026 should be accounted for and prepare, showing all workings, any journal entries necessary.

(10 marks)

Question 3

Advise, using the information in Appendix 3, on how the bank loan should be accounted for in the year ended 31 January 2026 and prepare, showing all workings, any journal entries necessary.

(9 marks)

Question 4

Construct the statement of profit or loss of Rodrique for the year ended 31 January 2026 using the information in Appendix 4 and taking account of any adjustments from Questions 1, 2 and 3.

You must complete this question using the Excel spreadsheet provided.

(4 marks)

Question 5

Advise, using the information in Appendix 5, which amounts should be included in the directors' remuneration disclosure note for the year ended 31 January 2026 in relation to the research director.

(4 marks)

(Total: 39 marks)

Notes:

All journal entries should be in £'000.

Ignore the tax effect of any adjustments.

APPENDIX 1 (Section 1)

Contract with Fermina

- In April 2025 Rodrique and its customer Fermina entered into a contract under which Rodrique would supply and install an industrial furnace for Fermina. The contract also requires Rodrique to reline the furnace five years after installation, a common maintenance requirement for furnaces.
- The total contract price was £890,000 of which Fermina paid £50,000 as a deposit on agreement of the contract.
- You are satisfied that the contract meets the definition of a contract for revenue under IFRS 15 *Revenue from Contracts with Customers.*
- The furnace was delivered to Fermina in August 2025, and installation was completed by the end of September 2025 when Fermina formally accepted the furnace and paid the remaining balance of £840,000.
- As the furnace was unique there was not an observable stand-alone selling price for the furnace or the relining.
- Rodrique estimates stand-alone selling prices using the cost plus a margin approach.
- The furnace cost £590,000 to manufacture and install and is expected to result in a profit margin of £177,000 when sold. It is estimated that the relining will cost £120,000, and will be sold for £168,000, including a profit margin of £48,000.
- The only accounting entries for the contract to date have been to record the £50,000 deposit received as a contract liability and the £840,000 received as revenue.

APPENDIX 2 (Section 1)

Information about research and development costs

- On 1 April 2025 Rodrique started a project to develop a more energy-efficient burner for use in furnaces.
- The project met all the criteria in IAS 38 *Intangible Assets* for the recognition of an intangible asset on 1 July 2025. Development and testing were completed by 30 November 2025 and production of the more energy-efficient burners commenced on 1 December 2025.
- It is estimated that the new burners will be used in furnaces for six years.
- Your assistant has recognised the following costs relating to the burner project as an intangible asset:

	Note	*£'000*
Staff costs	1	640
Depreciation	2	112
Advertising new burner		128
Testing prototype	3	62
		942

Note:

1. These are the costs of staff working on the project from 1 April 2025 to 30 November 2025 which were incurred evenly over that period.
2. This is depreciation of equipment used on the project from 1 July to 30 November 2025.
3. Costs relate to the final testing of prototype burners in November 2025.

- No other accounting entries have been made regarding the project.
- Research and development costs recognised as an expense, including amortisation, is presented in cost of sales.

APPENDIX 3 (Section 1)

Information about bank loan

- Rodrique obtained a £4,000,000 5-year bank loan on 1 August 2025. Rodrique received £3,960,000 on that date as the bank deducted £40,000 as an arrangement fee. Your assistant recorded a liability of £3,960,000.
- The bank loan carries interest of 3.5% per six months and interest is payable on 31 January and 31 July each year. Interest paid on 31 January 2026 has been presented in general and administrative expenses in profit or loss. The effective rate of interest is 3.6% per six months.
- No other accounting entries have been made regarding the loan.

APPENDIX 4 (Section 1)

Draft statement of profit or loss of Rodrique for the year ended 31 January 2026

	Draft
	£'000
Revenue	14,640
Cost of sales	(8,320)
Gross profit	**6,320**
Other operating income	23
Selling expenses	(470)
General and administrative expenses	(748)
Operating profit	**5,125**
Profit before financing and income taxes	**5,125**
Interest expenses on borrowings	(335)
Profit before income taxes	**4,790**
Income tax expense	(872)
PROFIT	**3,918**

Also provided as an Excel resource

APPENDIX 5 (Section 1)

Information regarding research director

The following information has been obtained regarding the research director for the year ended 31 January 2026:

	£
Gross salary	105,000
Employee's pension contribution	18,000
Value of share options granted	22,000
Employer's national insurance contribution	10,625

END OF SECTION

SECTION 2 (42 marks)

Arie

You are the financial accountant of Arie plc (Arie) and have responsibility for the preparation of Arie's consolidated financial statements for the year ended 31 January 2026. Arie has a number of subsidiaries which it has had for several years. Arie prepares its financial statements in accordance with IFRS Accounting Standards. The main business activities of the group do not include investing in assets or providing finance.

Arie has acquired shares in Champlain Break Ltd (Champlain) in three stages. You need to advise on how each of the three acquisitions would be accounted for in the consolidated financial statements of Arie using the information in Appendix 1.

You then have to prepare consolidation journal entries for Champlain using the information in Appendix 2.

The draft equity section of Arie's consolidated statement of financial position as at 31 January 2026 is in Appendix 3.

You have also been asked to advise on whether the directors of Arie would be correct to classify a future investment in Planter Brock Ltd (Planter) as a joint venture from 1 October 2026. Information about the investment in Planter is in Appendix 4.

QUESTIONS:

Question 6

Advise, using the information in Appendix 1, on how each of the three acquisitions of shares in Champlain would be accounted for in the consolidated financial statements of Arie for the year ended 31 January 2026.

You should prepare calculations where necessary but are not required to prepare journal entries or to calculate goodwill in your response to this question.

(9 marks)

Question 7

Prepare, using the information in Appendices 1 and 2 and showing all workings, any consolidation journal entries necessary to prepare the consolidated financial statements of Arie for the year ended 31 January 2026, including the 'final step' consolidation adjustment.

(24 marks)

Question 8

Construct, using the information in Appendix 3 and taking into account your answer to Question 7, the equity section of the consolidated statement of financial position of Arie as at 31 January 2026.

You must complete this question using the Excel spreadsheet provided.

(4 marks)

Question 9

Advise whether the directors would be correct to classify the future investment in Planter as a joint venture.

(5 marks)

(Total: 42 marks)

Notes:

All journal entries should be prepared in £'000.

Ignore the tax effect of any adjustments.

APPENDIX 1 (Section 2)

Details concerning the acquisition of shares in Champlain

Champlain has 4,000,000 £1 ordinary shares in issue.

- On 1 March 2025 Arie acquired 100,000 of the shares for £300,000.
- On 1 April 2025 Arie acquired a further 2,300,000 shares at £4.20 per share, the fair value of each share at that date.
- On 1 November 2025 Arie acquired a further 400,000 shares for £1,900,000.

All changes in fair value have been correctly recorded in Arie's individual financial statements.

APPENDIX 2 (Section 2)

Information concerning Champlain

Accounting policies

- Arie measures non-controlling interests at acquisition at a proportionate share of net assets.
- Depreciation and gains and losses on disposal of property, plant and equipment are calculated automatically and are included in general and administrative expenses.

Champlain

- Champlain only has one reserve, retained earnings. The balance of retained earnings at the dates of each share acquisition was as follows:

	Retained earnings £'000
1 March 2025	8,620
1 April 2025	8,680
1 November 2025	9,100

- Champlain made a profit of £720,000 for the year ended 31 January 2026. Profits arose evenly throughout the year.
- On 1 December 2025 Champlain sold a machine to Arie for £210,000. The machine had a carrying amount of £160,000 and a remaining useful life of four years at 1 December 2025. Prior to transfer, the depreciation expense was £40,000 per year. The estimated residual value of the machine is nil, and it is depreciated using the straight-line method.
- At 31 January 2026, Arie still owed 30% of the amount paid to acquire the machine.

APPENDIX 3 (Section 2)

Arie plc

Consolidated statement of financial position as at 31 January 2026 (Extract)

	Draft
Equity	*£'000*
Share capital	23,000
Share premium	4,000
Revaluation surplus	3,780
Retained earnings	23,670
	54,450
Non-controlling interests	2,100
Total equity	56,550

Also provided as an Excel resource

APPENDIX 4 (Section 2)

Information concerning investment in Planter

- Arie has agreed to acquire 20% of the ordinary share capital of Planter on 1 October 2026.
- There will be two other investors in Planter and their shareholdings in Planter from 1 October 2026 will be as follows:

Investor	*% shareholding*
Bitan	50
Delton	30

- Under contractual arrangements agreed by all three shareholders, key operating and financial decisions must be agreed by shareholders who together hold at least 85% of the shares in Planter.
- Under the contractual arrangements each investor has rights to the net assets of Planter based on their shareholding in the company.

END OF SECTION

SECTION 3 (19 marks)

Eco

Eco Textiles Pro plc (Eco) is a UK-based company. The main business activity of Eco is the manufacture of clothing. Eco prepares its sustainability report in accordance with the Global Reporting Initiative (GRI) Standards and its financial statements in accordance with IFRS Accounting Standards. It has a reporting date of 31 December.

The Eco board approved a new sustainability strategy in December 2025 which sets a target to reduce total water consumption by 20% by 2030. This will result in changes to the business which include closing the main dyeing unit, upgrading existing factories and investing in advanced water recycling technologies. The changes together will have a material impact on business operations and have not yet been communicated to Eco's employees.

The finance director, who is a CA, has insisted that you include a restructuring provision in the 2025 financial statements to cover the expected costs of making the changes. She has made it clear that the provision must be included as a signal to shareholders that Eco is taking sustainability seriously, irrespective of the requirements of IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*, and has implied that your annual performance bonus will be impacted if you don't comply.

She has also asked you to evaluate whether the water consumption section of the draft sustainability report provided in Appendix 1 complies with the requirements of GRI 303-5 *Water Consumption* provided in Appendix 2.

QUESTIONS:

Question 10

Advise, with reference to IAS 37:

a) whether the planned changes would be a restructuring; and

b) why a restructuring provision should not be recognised at 31 December 2025.

(6 marks)

Question 11

Advise, with reference to the ICAS Code of Ethics, on the ethical issues for the finance director arising from her instruction that you recognise a restructuring provision. You are not required to provide any actions.

(5 marks)

Question 12

Evaluate whether Eco's disclosures in Appendix 1 comply with the requirements of GRI 303-5, as outlined in Appendix 2. Recommend improvements that could be made to ensure Eco's reporting is compliant and useful to stakeholders.

(8 marks)

(Total: 19 marks)

APPENDIX 1 (Section 3)
Draft Sustainability report – Water consumption

Management approach

Eco recognises the importance of using water responsibly within our manufacturing operations. Water is a key input in our dyeing process, and we are committed to reducing our reliance on water resources through improved efficiency and sustainable sourcing practices.

Performance in 2025

In the year ended 31 December 2025, Eco consumed approximately 2 million cubic metres of water across all production facilities (2024: 2.2 million cubic metres) reflecting ongoing efforts to enhance water efficiency.

Operations in water-stressed regions

Eco operates two facilities in areas classified as water-stressed. The water consumption in these facilities during 2025 was 20% of total consumption. Eco continues to assess the risks associated with water availability in these areas.

Water storage

Eco does not currently have water storage facilities. Eco has assessed the potential impacts and determined that water storage is immaterial to its overall water-related environmental impact because the facilities rely on continuous supply, and storage volumes would represent less than 0.5% of total water consumption.

Targets and strategy

Eco has set a target to reduce total water consumption throughout the supply chain by 20% by 2030. Our strategy includes working with suppliers to encourage water-efficient practices and exploring investment in water recycling technologies in our factories.

APPENDIX 2 (Section 3)
GRI 303-5 *Water consumption*

REQUIREMENTS

a. Total water consumption from all areas in megaliters.

b. Total water consumption from all areas with water stress in megaliters.

c. Change in water storage in megaliters, if water storage has been identified as having a significant water-related impact.

d. Any contextual information necessary to understand how the data have been compiled, such as any standards, methodologies, and assumptions used, including whether the information is calculated, estimated, modelled, or sourced from direct measurements, and the approach taken for this, such as the use of any sector-specific factors.

END OF ASSESSMENT